

IAASB Meeting Highlights and Decisions

March 2015

Contact: Kathleen Healy, IAASB Technical Director (KathleenHealy@iaasb.org)

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A [Podcast](#) recording giving a short audio summary of the main outcomes of the March 2015 IAASB meeting is also available on the IAASB website, as are the agenda materials that were considered by the IAASB.

Disclosures

The IAASB approved changes to ten International Standards on Auditing™ (ISAs™) to address the audit implications of disclosures in the audit of financial statements. The changes clarify the concept of disclosures as an integral part of the financial statements and emphasize the need for auditor consideration of disclosures earlier in the audit process. Strengthened requirements and new guidance focuses on requiring the auditor to understand relevant aspects of the information system relating to information disclosed in the financial statements, identifying and assessing the risks of material misstatements in quantitative and qualitative disclosures, obtaining sufficient appropriate audit evidence relating to disclosures, and evaluating the overall presentation of the financial statements, including their relevance and understandability.

The changes will be published once the PIOB has approved the due process followed in their development, and will be effective for audits of financial statements for periods ending on or after December 15, 2016. An updated Staff Publication will also be published at the same time to highlight the importance and evolving nature of financial statement disclosures and articulate for auditors and others how the ISAs, including these changes, specifically address disclosures.

Quality Control

The IAASB continued its discussions on key issues relating to quality control, with a focus on the topics of governance of accounting firms, engagement quality control reviews, remediation, shared service centers and outsourcing, group audits, and the linkages between the IAASB's *Framework for Audit Quality* and the quality control standards. The IAASB affirmed the need to specifically solicit views from small and medium practices (SMPs) in light of concerns about the ability of the quality control standards to be proportionately applied. The IAASB also discussed the implications of a Staff-led survey on the use in practice of new audit delivery models, including accounting firms' use of outsourcing.

The IAASB agreed that the Quality Control Working Group should continue its outreach efforts and develop a discussion paper on a priority basis.

Group Audits

The IAASB continued its discussions on key issues relating to group audits, including possible areas for revision of ISA 600, *Special Considerations—Audits of Group Financial Statements (Including the Work of Component Auditors)*. The discussions focused on findings from the IAASB's ISA Implementation Monitoring project, inspection findings and other outreach including, among others, issues relating to the group auditor's ability to obtain sufficient appropriate audit evidence on which to base the group auditor's opinion on the group financial statements, the degree of involvement of the group auditor in the work of component auditors, component materiality, and the application of ISA 600 in particular circumstances.

The IAASB supported the Group Audits Working Group's recommendation to develop a brief Staff publication to clarify how the ISAs apply in audits of letterbox companies. The IAASB also agreed that a discussion paper further exploring the issues that had been identified would be a useful way forward, as would consideration of any relevant academic research on the topic of group audits.

Financial Institutions

The IAASB received an update from the Financial Institutions Working Group on their outreach activities and the initial plans to progress the project. A panel discussion (comprised of experts from the International Accounting Standards Board, the Basel Committee on Banking Supervision and an experienced bank auditor) was also held to provide the IAASB with views and opinions about current issues in the audits of financial institutions, including International Financial Reporting Standard (IFRS) 9, *Financial Instruments*.

The IAASB asked the Working Group to conduct further research on the issues to be addressed in relation to the audit of financial institutions before determining whether authoritative or non-authoritative material is needed. With regard to the relationship between auditors and banking and insurance supervisors, the IAASB supported in principle the development of non-authoritative guidance in the form of an International Auditing Practice Note, taking into account work on the topic already undertaken by the Basel Committee.

Integrated Reporting

The IAASB discussed a draft Awareness Paper prepared by the Integrated Reporting Working Group. The IAASB was supportive of moving forward with a more streamlined paper raising awareness on the IAASB's activities in this area and later in time a more substantive discussion paper addressing the most relevant assurance issues.

Auditor Reporting, Including ISA 810

The IAASB exchanged views about activities and other efforts already taken or planned in their respective jurisdictions to promote the awareness of the IAASB's new and revised Auditor Reporting standards and to support the effective implementation thereof. The IAASB also considered proposed recommendations for a way forward with respect to ISA 810, *Engagements to Report on Summary Financial Statements*.

IESBA's Non-Compliance with Laws and Regulations Project

The IAASB received a presentation from Ms. Caroline Gardner, Chair of the International Ethics Standards Board for Accountants (IESBA) Task Force on proposed changes to the IESBA *code of Ethics for Professional Accountants* to address non-compliance with laws and regulations. The IAASB agreed to establish a Working Group to develop a project proposal on the implications for the IAASB's

International Standards and to make recommendations for a possible exposure draft for approval at the June 2015 IAASB meeting.

Process Documents

The IAASB discussed the proposed policy note on circumstances that may require the IAASB to undertake an accelerated response and the process for developing an International Practice Notes, including IAPNs. The IAASB agreed to discuss the processes further with the PIOB and finalize the documents thereafter.

External Presentations

The IAASB received presentations from representatives of the International Forum of Independent Audit Regulators, the European Commission, and the Fédération des Experts-comptables Européens.

Next Meeting

The next IAASB meeting will be held via teleconference on April 29, 2015, at which time a coordinated approach to the various discussion papers will be discussed. The next IAASB physical meeting will be held in New York, United States, on June 15–19, 2015.